2.4.2 Advantages

1. **No Inconvenience and Dislocation in Work:** The work of audit does not present any inconvenience and dislocation in the work of the concern as the auditor comes only once in a year.
2. **Less Expensive:** Periodical audit is less expensive and more useful for small business concerns than continuous audit.
3. **Quick Finalisation of Accounts:** In periodical audit, the work of the auditor can be finished quickly and within a reasonable time. The auditor ensures quick completion of work in one session due to continuity.
4. **No Chance of Collusion:** In periodical audit there is no undue collusion between the auditor and the clerk as in the case of continuous audit.
5. **No Chance of Tampering Books:** The possibility of tampering with the books of accounts during the audit is reduced as the audit work starts only after the books are closed.
6. **Time Effectiveness:** The auditor uses statistical sampling methods and techniques which lead to time effectiveness.

2.4.3 Disadvantages

1. **Detailed Checking not Possible:** In periodical audit, detailed checking of accounts is not possible and hence there are chances of errors and frauds which remain undetected.
2. **Delayed Presentation of Audited Financial Statements:** The work of an auditor starts only after the close of the financial period, therefore there is undue delay in finalising the financial statements and in preparing the audit report.
3. **Difficulty in Fixing Responsibility:** Another major drawback is that all the errors and frauds are found at the end of the accounting year, which makes it very difficult to fix responsibility for defalcations.
4. **No Moral Check on Clients Staff:** There is no sense of moral check on the employees in clients organisation as the auditor visits the company only after the end of the financial period.
5. **Unsuitable:** For big concerns, periodical audit is rarely practicable and it is not much popular for them.

Summary of Advantages and Disadvantages of Periodical Audit	
Advantages	**Disadvantages**
1. No Inconvenience and Dislocation in work	1. Detailed checking not possible
2. Less expensive	2. Delayed Presentation of Audited Financial Statement
3. Quick finalisation of accounts	3. Difficulty in fixing responsibility
4. No chance of collusion	4. No moral check on clients staff
5. No chance of tampering books	5. Unsuitable
6. Time effectiveness	

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